LW1109

Introduction to Business Law

SUMMER 2024 EXAMINATION · PAPER 1

Full Marking Scheme

Covers Questions 1–4 (Part A & Part B)

Prepared for Study-Uni. Model answers reflect the law of contract and tort as taught on LW1109 (UCC), covering offer & acceptance, frustration, vicarious liability in tort, and the set case-note topics. Case citations verified against primary/secondary legal sources at time of preparation.

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EXAM STRUCTURE *Candidates attempt ONE question from Part A and ONE from Part B; Part B, Question 4 requires comment on any TWO of the four items. Because different candidates may have attempted different combinations, this scheme provides a full model answer for every question and every Q4 option, each self-contained and independently weighted to 100% (or, for the four Q4 options, to 50% each, reflecting that two are answered to make up the full Question 4 mark).*

PART A · QUESTION 1

Grace, Lee & Tony — Offer, Acceptance & Revocation

QUESTION 1

Grace wants to sell a set of bookshelves, and she decides to post an advertisement on an online sales website. The advertisement states that the bookshelves are available for a minimum price of €250 and that anyone who is interested in purchasing the bookshelves should respond by Monday, 1st April. The advertisement includes Grace's email address, mobile phone number, and postal address.

Upon seeing the advertisement, Lee immediately sends an email to Grace, in which Lee promises that he can pay up to €300 for the bookshelves. Lee includes his postal address in the email, so as to help with any delivery of the items. The email is received and read by Grace, but she opts to delay replying until any other potential buyers contact her before Monday 1st.

By 28th March, there are no further responses and Grace is content to arrange a sale of the bookshelves to Lee. However, the Internet connection at Grace's house is not working on this particular day. Having already noted Lee's postal address, Grace writes and sends a letter to Lee. In the letter, Grace confirms that she would be prepared to accept up to €300 for the bookshelves, but that she would prefer if he could collect the bookshelves from her house, for the sake of avoiding delivery costs.

As Grace is returning home after posting the letter to Lee, she notices a voicemail from Tony. According to Tony's message, he is willing to pay €350 for the bookshelves and he can organise delivery by whatever means suit Grace. Grace is delighted with this proposal. Grace calls Tony to inform him that she will sell the bookshelves for €350. She tells Tony that he can collect the bookshelves at a convenient time.

The next day (29th March), Grace's Internet connection is restored. She sends an email to Lee to explain that he may soon receive a letter from her, but that he should disregard the letter because Grace has already finalised the sale of the bookshelves. Lee responds to Grace's email following receipt of the letter. It is clear from his email that Lee is angry with Grace's change of mind and that he believes that Grace has broken what he believes to be a legally valid agreement.

Advise Grace.

APPROACH NOTE *This is a single, undivided "advise the party" problem question, worth 100% of Question 1. It is broken into the six issues below purely for study purposes, each mapped to a proportion of the total 100%, reflecting how much of a full answer that issue should occupy. A student answering this in the exam would write it as one continuous, issue-led piece of legal advice, not as six separately headed mini-essays.*

Issue (a) · Was Grace's advertisement itself an offer?

FULL MODEL ANSWER

The starting point is to classify each communication as either an **offer** (a statement of terms made with the intention to be bound as soon as it is accepted) or an **invitation to treat** (an invitation to others to make offers, which the maker is free to accept or reject).

Grace's advertisement announces a minimum price and asks interested parties to respond — it does not commit Grace to selling to the first, or any, respondent. This is precisely the situation in *Partridge v Crittenden* [1968] 1 WLR 1204, where a classified advertisement for the sale of birds at a stated price was held to be an invitation to treat rather than an offer, because advertisers cannot sensibly be taken to intend to be bound to sell to every person who replies, irrespective of available stock. Lord Parker CJ's reasoning — that treating advertisements as offers would expose sellers to liability they could not fulfil — applies with equal force here: Grace has only one set of bookshelves, and her advertisement inviting offers "of a minimum price of €250" is language of invitation, not of a binding promise to sell to whoever responds first.

The consequence is that Grace's advertisement was **not** an offer capable of acceptance. It was an invitation to treat. Lee's email is therefore properly classified as the **offer** in this transaction — it is Lee proposing to buy at up to €300, not Lee accepting a pre-existing offer from Grace.

Mark Allocation — Issue (a)

Tier	Descriptor	%
Full credit	Correctly identifies advertisement as invitation to treat, AND cites and applies *Partridge v Crittenden* to these specific facts, AND correctly identifies Lee's email as the offer.	15%
Good	Correct classification with case authority, but application to facts underdeveloped or Lee's email not clearly repositioned as the offer.	11%
Partial	States the invitation-to-treat/offer distinction in the abstract without correct authority or clear application.	6%
Minimal	Misclassifies the advertisement as an offer, or omits the issue.	0–3%
Weight of this issue within Question 1		**15%**

Issue (b) · Lee's offer and Grace's silence

FULL MODEL ANSWER

Lee's email is an offer to purchase for up to €300. Grace reads it but chooses to delay replying until she sees whether other buyers come forward. The question is whether Grace's inaction, or her silent decision to "wait and see," has any contractual effect at this point.

It does not. The leading authority is *Felthouse v Bindley* (1862) 11 CB (NS) 869, where an uncle wrote to his nephew that if he heard nothing further he would consider the horse his; the nephew never replied, yet privately intended to sell. The Court of Common Pleas held there was no contract: an offeror cannot unilaterally impose a contract on an offeree merely because the offeree stays silent, and silence alone is not evidence of acceptance. The rule protects the offeree's freedom not to be bound without a positive, communicated act of assent.

Applying this, Grace's silence and delay create no obligation to Lee. Lee's offer remains open (in the sense that it has not yet been accepted or rejected), but nothing has yet been concluded between them. This matters later in the analysis: because no contract exists at this stage, Lee's offer is, in principle, still revocable and Grace remains free to negotiate with other interested parties, such as Tony.

Mark Allocation — Issue (b)

Tier	Descriptor	%
Full credit	Identifies that Grace's silence is not acceptance, cites and applies *Felthouse v Bindley*, AND draws out the consequence that no contract yet exists with Lee.	15%
Good	Correct rule and case cited, application to facts present but the "no contract yet" consequence not explicitly stated.	11%
Partial	General awareness that silence is not usually acceptance, without correct authority.	6%
Minimal	Treats Grace's silence as accepting or rejecting Lee's offer, or omits the issue.	0–3%
Weight of this issue within Question 1		**15%**

Issue (c) · Grace's letter to Lee — counter-offer, and the postal rule

FULL MODEL ANSWER

On 28 March, Grace posts a letter to Lee stating she "would be prepared to accept up to €300," but adding that she would **prefer** collection rather than delivery. Two questions arise: (i) is this an unconditional acceptance of Lee's offer, or does it introduce a new term that makes it a counter-offer; and (ii) if it is an acceptance, when does it take legal effect — on posting, or on receipt?

> **VERDICT — CLASSIFICATION**
> **Best view: a valid, unconditional acceptance, not a counter-offer — but this is genuinely arguable and should be flagged as such.**

An acceptance must mirror the offer exactly: any material variation converts the reply into a counter-offer, which destroys the original offer rather than accepting it (*Hyde v Wrench* (1840) 3 Beav 334, where a reply proposing a different price was held to reject, not accept, the seller's offer, so that the original offer could not later be revived and accepted). The question is whether Grace's stated *preference* for collection is a genuine new term of that kind, or merely a request that does not purport to alter what is being agreed. Because Grace uses the language of preference ("she would prefer") rather than making collection a condition of sale, the better reading is that she is accepting Lee's €300 offer on its own terms while separately asking a favour about logistics — closer to a request tacked onto an acceptance than to the qualified, price-altering counter-offer in *Hyde v Wrench*. On this reading, Grace's letter is an acceptance.

> **SOURCING NOTE** *The facts do not use the word "condition," and this is a genuinely contestable point of construction that a marker should be prepared to credit either way, provided the reasoning correctly applies the Hyde v Wrench mirror-image rule to the actual wording used.*

Timing. If Grace's letter is an acceptance, the next question is when it takes effect. The general rule is that acceptance must be communicated and received by the offeror. The postal rule is an exception: where post is a reasonable and contemplated means of communication, acceptance is effective the moment the letter is posted, not when it is received (*Adams v Lindsell* (1818) 1 B & Ald 681). Here, Lee himself corresponded partly by letter (he gave his postal address for delivery), and Grace resorts to post because her internet connection has failed — a reasonable and foreseeable reason to use the post in the circumstances. The postal rule should therefore apply, meaning Grace's acceptance is effective at the moment of posting on 28 March, **before** she later speaks to Tony that same day.

Mark Allocation — Issue (c)

Tier	Descriptor	%
Full credit	Correctly frames both sub-issues (counter-offer vs acceptance, using *Hyde v Wrench*; and timing, using *Adams v Lindsell*), reaches a reasoned conclusion on each, and acknowledges the genuine ambiguity in the "prefer" wording.	25%
Good	Both cases correctly cited and broadly applied, but the analysis is one-sided (e.g. asserts acceptance without engaging the counter-offer argument) or the postal rule's applicability is asserted rather than justified.	18%
Partial	Only one of the two sub-issues (classification or timing) is properly addressed with authority.	10%
Minimal	No attempt to classify the letter or to address timing, or clear misstatement of the postal rule.	0–5%
Weight of this issue within Question 1		**25%**

Issue (d) · Grace's contract with Tony

FULL MODEL ANSWER

Tony's voicemail, offering €350 with delivery arranged by Tony, is an offer. Grace telephones Tony to accept it, telling him he can collect at a convenient time. A telephone call is an **instantaneous** mode of communication: unlike the postal rule, acceptance by an instantaneous method takes effect when and where it is actually received by the offeror, not merely when spoken (*Entores Ltd v Miles Far East Corp* [1955] 2 QB 327, extending the general receipt rule to telex and, by analogy, telephone, on the basis that the offeror needs to actually hear or read the acceptance for a genuine meeting of minds).

Because Grace and Tony spoke directly, Tony received Grace's acceptance instantly, at the moment of the call. A contract with Tony for €350 is therefore formed at that point in time, later on 28 March, **after** Grace had already posted her letter to Lee earlier that day.

Mark Allocation — Issue (d)

Tier	Descriptor	%
Full credit	Identifies the telephone call as instantaneous communication, cites and applies *Entores v Miles Far East Corp*, and correctly places contract formation with Tony as occurring on 28 March, after the letter was posted.	15%
Good	Correctly finds a contract with Tony but without clear authority for why telephone acceptance differs in timing from postal acceptance.	11%
Partial	Identifies a contract exists with Tony but without addressing timing at all.	6%
Minimal	Fails to recognise a contract was formed with Tony, or misapplies the postal rule to a telephone call.	0–3%
Weight of this issue within Question 1		**15%**

Issue (e) · The attempted revocation and the resulting conflict

FULL MODEL ANSWER

On 29 March, once her internet is restored, Grace emails Lee asking him to disregard the letter, on the basis that she has "already finalised" the sale to Tony. The question is whether this email can undo the contract that (on the analysis above) was already formed with Lee the previous day, at the moment of posting.

VERDICT

No — Grace's 29 March email cannot undo a contract already concluded with Lee on 28 March.

The key authority is *Byrne & Co v Van Tienhoven & Co* (1880) 5 CPD 344, which draws a sharp distinction between acceptance and revocation for postal-rule purposes: acceptance is effective on posting, but a purported **revocation** is only effective when it is actually received by the other party — the postal rule protects the offeree, not the party trying to withdraw. On the facts here, however, Grace is not the offeror trying to revoke her own offer; she has, on the analysis above, already **accepted** Lee's offer by post. Once a postal acceptance is effective on posting, the resulting contract cannot be unilaterally cancelled by either side sending a later, faster message saying they have changed their mind — that would defeat the entire purpose of the postal rule, which is to give the accepting party certainty at the moment of posting. Grace's 29 March email is, in substance, an attempted unilateral cancellation of a contract that already exists, and it has no legal effect on that contract merely because it happens to arrive before, or alongside, the original letter.

The consequence is stark: on the balance of the analysis above, Grace has **two** apparently binding contracts for the same bookshelves — one with Lee (formed on posting, 28 March) and one with Tony (formed on the telephone call, later on 28 March). She physically cannot perform both. Because the contract with Lee was formed first in time, the stronger legal position is that the Lee contract is the binding one, and Grace's subsequent agreement with Tony, however genuinely made, exposes her to a claim for breach of contract from whichever party she does not supply — most likely Tony, if she proceeds to sell to Lee, or Lee (who has already indicated he considers the agreement binding and is angry at the apparent breach) if she proceeds with Tony.

Mark Allocation — Issue (e)

Tier	Descriptor	%
Full credit	Correctly cites and applies *Byrne v Van Tienhoven*, correctly distinguishes revocation-of-offer from cancellation-of-an-already-accepted-contract, AND identifies that Grace now has two competing contracts with Lee formed first in time.	20%
Good	*Byrne v Van Tienhoven* cited and generally applied, but the distinctive point that Grace has already accepted (not merely made an offer) is not clearly drawn out.	14%
Partial	Recognises there is a conflict between the two "sales" without correctly resolving priority using authority.	8%
Minimal	Concludes Grace's email successfully cancels the Lee agreement, or omits the issue.	0–4%
Weight of this issue within Question 1		**20%**

Issue (f) · Advice to Grace — conclusion

FULL MODEL ANSWER

Grace should be advised as follows. Her advertisement was an invitation to treat, so Lee's email was the operative offer; her initial silence created no obligation to Lee. Her letter of 28 March, posted while her internet was down, is properly read as an unconditional acceptance of Lee's offer (though this turns on how the "prefer to collect" language is construed, and Grace should be aware that a court could take the opposing view), and under the postal rule that acceptance took effect the moment it was posted — before her later, separate telephone acceptance of Tony's higher offer that same day. Because acceptance by post is effective on posting and cannot be revoked by a later, faster communication (*Byrne v Van Tienhoven*), Grace's email of 29 March asking Lee to disregard the letter does not undo that contract.

Grace is therefore at real risk of being contractually bound to Lee, and any attempt to sell instead to Tony — however genuinely and reasonably she believed she was free to do so — is likely to expose her to a claim for breach of contract, whichever buyer she ultimately fails to supply. The practical advice is to contact both Lee and Tony promptly, explain the situation candidly, and consider whether either would accept compensation (e.g. the difference in price, or reasonable costs incurred) to release Grace from one of the two agreements, rather than allowing the matter to proceed to litigation.

Mark Allocation — Issue (f)

Tier	Descriptor	%
Full credit	Synthesises the prior issues into clear, practical advice; correctly identifies Grace's exposure to a breach claim; offers a sensible practical resolution.	10%
Good	Correct overall conclusion but limited practical/remedial advice.	7%
Partial	Restates earlier findings without drawing a clear bottom-line conclusion for Grace.	4%
Minimal	No coherent concluding advice given.	0–2%
Weight of this issue within Question 1		**10%**

QUESTION 1 — TOTAL **15 + 15 + 25 + 15 + 20 + 10 = 100%**

PART A · QUESTION 2

Norah & Dave — Frustration of Contract

QUESTION 2

Norah is planning to organise a basketball game to raise money for a local charity. Norah approaches Dave, the owner of a building which is regularly used as a venue for various social events. Dave is in favour of renting out the premises for the day of the basketball game. A deposit of €500 is initially paid by Norah. It is agreed that a remaining balance of €2,000 be paid on the morning of the event.

For several months, there are complaints from neighbours about overgrown trees next to the building. Dave consistently ignores the complaints, even after a loose branch from one of the trees smashes a window of the building. Two days prior to the basketball event, an intense storm causes some of the trees to collapse. The roof of the building is badly damaged and fallen trees will need to be removed from the property.

Dave contacts Norah to inform her of what has happened. He tells Norah that he regrets that the event must now be cancelled. Norah begins to suggest other possible local venues that could stage the event at short notice. To assist with the expenses in reserving an alternative venue, Norah asks if Dave could return the deposit to her as soon as he possibly can. Norah is surprised when Dave responds that their contract is frustrated and that, "from his understanding of the law," he is entitled to keep the deposit.

Advise Norah.

Issue (a) · Was there a valid, binding contract?

FULL MODEL ANSWER

Before addressing frustration, it should briefly be confirmed that a contract existed at all: Dave offered to rent the building for the day of the event, Norah accepted by paying a €500 deposit, and the parties agreed a further €2,000 payable on the morning of the event. There is offer, acceptance, and consideration on both sides (the promise of the venue against the promise to pay), and no facts suggest any defect in formation. A valid contract for the hire of the premises therefore existed between Norah and Dave, on the agreed terms as to price and timing of payment.

Mark Allocation — Issue (a)

Tier	Descriptor	%
Full credit	Briefly and correctly confirms a valid contract exists, identifying its key terms (price, deposit, balance).	10%
Good	Confirms a contract exists without identifying the terms.	7%
Partial	Assumes a contract without any reasoning.	4%
Minimal	Issue not addressed.	0–2%
Weight of this issue within Question 2		**10%**

Issue (b) · Does the storm damage amount to frustration?

FULL MODEL ANSWER

Frustration discharges a contract where, without the fault of either party, a subsequent event renders performance impossible, illegal, or radically different from what was undertaken. The foundational authority is *Taylor v Caldwell* (1863) 3 B & S 826, where a music hall hired for a series of concerts burned down before the first performance; the court held both parties were discharged from further performance because the contract was impliedly conditional on the continued existence of the hall, and its destruction, without fault on either side, made performance impossible.

The parallel to Dave's building is direct: the storm badly damages the roof and brings down trees that must be removed before the venue could safely host an event. If the storm were treated in isolation, as an unforeseen, external event outside either party's control, it would appear to satisfy the classic frustration test — the venue itself, the very thing the contract was about, is no longer available in a usable state through no apparent fault of the parties.

> **CHECKNOTE** *This conclusion is provisional. It is qualified decisively by the next issue: whether Dave can be said to be at fault for the damage, given his conduct in the months beforehand. Frustration is only available for events that occur "without fault of either party" (Taylor v Caldwell); that qualification is examined next.*

Mark Allocation — Issue (b)

Tier	Descriptor	%
Full credit	States the frustration doctrine accurately, cites and applies *Taylor v Caldwell* to the storm damage, AND flags that this conclusion is provisional pending the fault question.	25%
Good	Correct doctrine and case applied to the facts, but treated as a final conclusion rather than provisional.	18%
Partial	General statement of the frustration doctrine without correct authority or clear application to the storm.	10%
Minimal	Doctrine misstated, or issue not addressed.	0–5%
Weight of this issue within Question 2		**25%**

Issue (c) · Self-induced frustration — Dave's own fault

FULL MODEL ANSWER

This is the pivotal issue on these facts. A party cannot rely on frustration where the "frustrating" event is, wholly or in significant part, a product of their own conduct — this is the doctrine of **self-induced frustration**. The leading authority is *Maritime National Fish Ltd v Ocean Trawlers Ltd* [1935] AC 524 (Privy Council), where a charterer could not rely on the unavailability of a fishing licence to claim frustration, because it was the charterer's own deliberate election not to nominate that vessel for a licence that caused the "impossibility." The Board's reasoning was that frustration must arise from a truly external event, not from circumstances the relying party had the power to avoid.

> **VERDICT**
>
> **Strong argument available to Norah that the frustration is self-induced by Dave's negligent inaction — though this is a matter of degree, not certainty.**

On the facts, the trees were the subject of neighbour complaints for several months. Dave "consistently ignore[d]" those complaints, and did so even after a loose branch had already smashed a window — a concrete warning sign that the trees posed an active risk to the building. Two days before the event, the storm brought the trees down and damaged the roof. Unlike the fire in *Taylor v Caldwell*, which struck without any prior warning or fault, the damage here follows months of a known, escalating hazard that Dave had the opportunity, and arguably the obligation as landlord/venue owner, to address by having the trees inspected or felled. Whether this rises to the level of a court finding the frustration "self-induced" in the strict *Maritime National Fish* sense (which concerned a deliberate election, not mere negligence) is not entirely free from doubt; but the doctrine has since been extended to cover negligent, not only deliberate, contribution to the frustrating event, and a court would likely regard Dave's sustained disregard of a known, worsening risk as materially undermining any claim that the roof damage occurred wholly "without fault" on his side.

If the frustration is found to be self-induced, the legal consequence is significant: the doctrine of frustration is unavailable to Dave altogether, the contract is not discharged, and Dave's failure to provide a usable venue instead constitutes an ordinary **breach of contract** by Dave. On this analysis, Norah would be entitled not merely to the return of her deposit, but potentially to damages for any additional loss caused by the late cancellation (for example, the reasonable extra cost of securing a substitute venue at short notice), rather than being confined to a restitutionary claim under the more limited frustration analysis addressed next.

Mark Allocation — Issue (c)

Tier	Descriptor	%
Full credit	Identifies and correctly applies the self-induced frustration doctrine using *Maritime National Fish v Ocean Trawlers*; engages critically with the months of ignored complaints and the earlier broken window as evidence of fault; correctly identifies breach of contract (not restitution) as the consequence if frustration fails.	30%
Good	Correctly identifies the self-induced frustration argument and cites the case, but does not fully work through the consequence (breach vs frustration) or engages only lightly with the fact pattern.	21%
Partial	Notes that Dave "ignored" the complaints as a relevant fact without connecting it to the self-induced frustration doctrine or citing authority.	12%
Minimal	Accepts Dave's frustration claim uncritically without considering his prior conduct, or omits the issue.	0–6%
Weight of this issue within Question 2		**30%**

Issue (d) · The deposit — Irish common law position

FULL MODEL ANSWER

Even taking Dave's position at face value — that is, assuming the contract genuinely was frustrated by an event outside his control — his claim that he is automatically entitled to keep the deposit does not correctly state Irish law.

In England, the harsh common law position that pre-payments simply "lie where they fall" on frustration (*Chandler v Webster* [1904] 1 KB 493) was overruled by the House of Lords in *Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* [1943] AC 32, which held that money paid in advance is recoverable where there has been a **total failure of consideration** — i.e. where the payer has received nothing of what they bargained for before the frustrating event. England went on to legislate further protection for payers in the Law Reform (Frustrated Contracts) Act 1943.

> **CHECKNOTE — IRISH POSITION** *Ireland has no equivalent statute: the 1943 Act applies only in England and Wales (and, in modified form, Northern Ireland), and has never been enacted in this jurisdiction. Irish law on the recovery of pre-payments after frustration therefore still rests on the common law Fibrosa "total failure of consideration" test, without the more flexible statutory apportionment English claimants now enjoy. A Law Reform (Contracts) Bill, broadly modelled on the 1943 Act, has been proposed to update this position, but it was not law at the time of this contract and should not be relied upon as the current rule.*

Applying the *Fibrosa* test: has there been a total failure of consideration? Norah paid the €500 deposit for the eventual use of the venue on the day of the event, and no part of that use has yet occurred — the event was cancelled before it began, and Norah received no benefit under the contract at all. On these facts, this looks like a strong case of total failure of consideration, meaning the €500 deposit should, in principle, be recoverable by Norah even on a pure frustration analysis (i.e. even setting aside the self-induced frustration argument in Issue (c)). The one caveat is that if Dave can show he had already incurred some genuine cost or given some part-benefit in return for the deposit (for example, administrative costs of reserving the date), that could arguably defeat a claim that the failure of consideration was *total*; nothing in the facts suggests this, however.

Mark Allocation — Issue (d)

Tier	Descriptor	%
Full credit	Correctly states that the 1943 Act does not apply in Ireland, applies the common law *Fibrosa* total-failure-of-consideration test to the facts, AND reaches a reasoned conclusion that the deposit is recoverable (with the caveat re: part-performance/ expenses).	20%
Good	Correctly identifies *Fibrosa*/total failure of consideration as the applicable test, but does not flag that the English 1943 Act is inapplicable in Ireland.	14%
Partial	Vague awareness that deposits are "sometimes" recoverable after frustration without correct doctrinal grounding.	8%
Minimal	Accepts Dave's assertion that he can automatically keep the deposit, or omits the issue.	0–4%
Weight of this issue within Question 2		**25%**

Issue (e) · Advice to Norah — conclusion

FULL MODEL ANSWER

Norah should be advised that Dave's position — that the contract is simply frustrated and that this automatically entitles him to keep the deposit — is unlikely to be correct on either limb. First, Dave's months of ignoring escalating complaints about the trees, including after a branch had already struck the building, provides a genuine basis to argue that any "frustration" was self-induced by his own negligence, in which case the contract is not frustrated at all and Dave is instead in breach, exposing him to a claim for the deposit *and* consequential losses such as the cost of securing a replacement venue. Second, even if the storm damage is treated as a genuine, external frustrating event, Irish common law (in the absence of any equivalent to the English 1943 Act) would still require Dave to return the deposit under the *Fibrosa* total-failure-of-consideration principle, since Norah received no benefit whatsoever under the contract before it was cancelled.

Norah should formally request the return of the €500 deposit in writing, referencing both arguments, and should keep records of any additional costs incurred in securing an alternative venue, as these may be recoverable if the self-induced frustration (breach) argument succeeds.

Mark Allocation — Issue (e)

Tier	Descriptor	%
Full credit	Synthesises both lines of argument into clear, practical advice for Norah, correctly ranking the strength of each and advising on record-keeping/next steps.	10%
Good	Correct overall conclusion but limited practical advice.	7%
Partial	Restates earlier findings without a clear bottom-line recommendation.	4%
Minimal	No coherent concluding advice given.	0–2%
Weight of this issue within Question 2		**10%**

QUESTION 2 — TOTAL **10 + 25 + 30 + 25 + 10 = 100%**

PART B · QUESTION 3

The Nature of Employer's Liability in Tort Law

QUESTION 3

By reference to suitable examples of legal authority and case law, critically assess the nature of employer's liability in tort law.

APPROACH NOTE *This is an essay question worth 100% of Question 3. It is broken into the five issues below to structure a full answer; in the exam it should be written as one continuous, argument-led essay rather than five separately headed sections.*

Issue (a) · Vicarious liability: definition and rationale

FULL MODEL ANSWER

"Employer's liability in tort" primarily refers to **vicarious liability**: the principle that an employer can be held strictly liable for a tort committed by an employee, even though the employer did nothing wrong itself, provided the tort was committed in the course of the employee's employment. It is a form of strict, secondary liability — it does not depend on any fault by the employer, only on the relationship between employer and employee and the connection between that relationship and the wrong committed.

The doctrine is usually justified on policy grounds rather than pure logic: employers are typically better placed to bear and insure against the risk of loss caused by their staff ("deep pocket" and loss-distribution reasoning); imposing liability on the employer creates an incentive to select, train and supervise staff carefully; and, since the employer profits from the activity that generates the risk, it is thought fair that the employer should also bear its costs (the "enterprise risk" rationale). These justifications matter because, as discussed below, they have driven the doctrine's expansion well beyond its historical boundaries.

Mark Allocation — Issue (a)

Tier	Descriptor	%
Full credit	Accurately defines vicarious liability as strict, secondary liability AND explains at least two coherent policy justifications for it.	15%
Good	Accurate definition with one policy justification.	11%
Partial	Vague or partial definition without justification.	6%
Minimal	Definition materially incorrect or omitted.	0–3%
Weight of this issue within Question 3		**15%**

Issue (b) · The tests: employment status and "course of employment"

FULL MODEL ANSWER

Two questions must be answered before an employer is held vicariously liable: (i) was the wrongdoer an **employee** (rather than, for example, an independent contractor, for whom there is generally no vicarious liability), typically assessed via a control/integration test asking how much the employer directs the manner of the work; and (ii) was the tort committed **in the course of that employment**?

The traditional formulation of the second question — the "Salmond test" — asked whether the wrongful act was either (a) a mode, albeit an improper or unauthorised mode, of doing something the employee was actually employed to do, or (b) so unconnected with the employee's authorised duties as to amount to an independent act. This test coped reasonably well with negligent acts committed in the course of ordinary duties, but proved very difficult to apply to deliberate, intentional wrongdoing — most acutely, cases of sexual abuse by employees entrusted with the care of vulnerable people, which could never plausibly be described as an "unauthorised mode" of doing an authorised job. This difficulty is the hinge on which the modern law turns, and is examined through the Irish authorities below.

Mark Allocation — Issue (b)

Tier	Descriptor	%
Full credit	Correctly distinguishes the employment-status question from the course-of-employment question, accurately states the Salmond test, AND identifies its specific difficulty with intentional/deliberate wrongdoing.	20%
Good	Correctly states the Salmond test without clearly identifying why it struggles with intentional wrongdoing.	14%
Partial	General awareness that "course of employment" is a requirement without precise articulation of the test.	8%
Minimal	No coherent test articulated.	0–4%
Weight of this issue within Question 3		**20%**

Issue (c) · The Irish courts and the outer limits of the employer relationship — *O'Keeffe v Hickey*

FULL MODEL ANSWER

The Irish Supreme Court confronted the limits of vicarious liability directly in *O'Keeffe v Hickey* [2008] IESC 72, [2009] 1 ILRM 490. The plaintiff had been sexually abused by a national school teacher; the school's day-to-day management sat with a local manager (typically a priest) under Ireland's denominational national school system, while the State funded education and set the curriculum. The plaintiff argued the State should be vicariously liable, given its overwhelming practical control of the education system.

The Supreme Court (Fennelly and Hardiman JJ, Murray CJ and Denham J concurring; Geoghegan J dissenting) rejected the claim against the State, holding that the school manager, not the State, was the teacher's employer for these purposes, since it was the manager who appointed, could dismiss, and exercised the relevant day-to-day authority over the teacher; the State's role was funding and setting academic standards, not employing the individual teacher. Hardiman J stressed that vicarious liability "cannot in [his] view justly occur at all except in a situation where the party said to be vicariously liable has a real and actually exercisable power of control" over the wrongdoer — a notably cautious, incremental stance compared to the more expansive "enterprise risk" reasoning seen in other common law jurisdictions.

O'Keeffe v Hickey therefore illustrates the Irish courts' historical reluctance to extend vicarious liability beyond a genuine, controlling employment relationship, even where a non-employer defendant (here, the State) might appear better resourced to compensate the victim. The case ultimately proceeded to, and was decided against Ireland by, the European Court of Human Rights on separate grounds concerning the State's systemic failure to protect children from a known risk of abuse — a distinct, direct (not vicarious) liability argument that lies outside ordinary tort principles and is worth noting as context, without displacing the domestic vicarious liability analysis itself.

Mark Allocation — Issue (c)

Tier	Descriptor	%
Full credit	Accurately states the facts, holding and reasoning (control-based approach) of *O'Keeffe v Hickey*, AND identifies what it shows about the cautious Irish approach to extending vicarious liability.	25%
Good	Correctly cites *O'Keeffe v Hickey* and its outcome, without fully developing the control-based reasoning or its significance.	18%
Partial	Vague reference to an Irish abuse case without correct case name, facts, or reasoning.	10%
Minimal	No Irish authority engaged with.	0–5%
Weight of this issue within Question 3		**25%**

Issue (d) · Extending the doctrine — *Hickey v McGowan* and the "close connection" test

FULL MODEL ANSWER

The Irish courts' approach developed further, though still cautiously, in *Hickey v McGowan & Ors* [2017] IESC 6, [2017] 2 IR 196. The plaintiff had been sexually abused as a child by a member of an unincorporated religious order (the Marist Order) who taught at her school. Since an unincorporated association has no separate legal personality and is not, in the ordinary sense, an "employer," the case squarely raised whether vicarious liability could extend beyond the classic employer/employee relationship at all.

The Supreme Court (O'Donnell J, with Denham CJ, MacMenamin and Dunne JJ concurring; Charleton J dissenting) held that it could: an unincorporated religious order could, in principle, be vicariously liable for the acts of one of its members where the relationship between the order and the member was sufficiently akin to employment, and where the wrongdoing was sufficiently closely connected to the objects and mission of the order. This borrows the "close connection" language associated with the English House of Lords' landmark decision in *Lister v Hesley Hall Ltd* [2001] UKHL 22 (itself decided in the context of sexual abuse by a residential-school warden, where the Salmond test's "unauthorised mode" language plainly could not work, and where the House of Lords instead asked whether the wrongdoing was so closely connected to the very duties the employee was entrusted with — there, the care and supervision of vulnerable children — that it would be fair and just to hold the employer liable).

> **SIGNIFICANCE**
> ***Hickey v McGowan* marks the clearest Irish adoption of "close connection" reasoning, while O'Donnell J was careful to frame it in non-commercial language and to confine it, for now, to relationships (such as membership of a religious order) exhibiting a comparably intense degree of control and obedience — not to voluntary associations generally.**

Mark Allocation — Issue (d)

Tier	Descriptor	%
Full credit	Accurately states the facts and holding of *Hickey v McGowan*, connects it to the "close connection" test associated with *Lister v Hesley Hall*, AND correctly notes the deliberate limits O'Donnell J placed on the extension.	25%
Good	Correctly cites *Hickey v McGowan* and links it to close connection reasoning, without engaging the deliberate limits placed on the extension.	18%
Partial	General reference to an "extension" of vicarious liability without correct case authority.	10%
Minimal	No engagement with the doctrine's extension beyond the classic employment relationship.	0–5%
Weight of this issue within Question 3		**25%**

Issue (e) · Critical assessment and conclusion

FULL MODEL ANSWER

Taken together, *O'Keeffe v Hickey* and *Hickey v McGowan* show Irish vicarious liability doctrine moving, incrementally and self-consciously, from a narrow control-based conception of "employer" liability towards the broader "close connection" model seen in other common law jurisdictions — but doing so cautiously, case by case, rather than through a single doctrinal leap or legislative reform. This has real strengths: it allows courts to respond to genuinely deserving cases (such as institutional abuse by parties who are not, formally, "employers" at all) without abandoning the coherence-giving requirement of a real, controlling relationship altogether.

The approach also has real weaknesses. The line between a relationship that is "sufficiently akin to employment" (as in *Hickey v McGowan*) and one that is not remains genuinely unclear beyond the specific facts of religious orders, creating uncertainty for claimants, insurers, and institutions alike about where liability will ultimately fall. The doctrine's policy foundations — loss-spreading, deterrence, enterprise risk — arguably justify a more principled, general test rather than the current pattern of incremental, fact-specific extension; O'Donnell J's own judgment acknowledges this tension by expressly declining to say how far the reasoning in *Hickey v McGowan* might extend to other unincorporated associations. On balance, Irish law can be assessed as having moved sensibly, but only partially, towards a coherent modern doctrine of employer liability, leaving significant scope for future litigation to define its outer limits.

Mark Allocation — Issue (e)

Tier	Descriptor	%
Full credit	Offers a genuinely critical (not merely descriptive) assessment weighing the strengths and weaknesses of the incremental Irish approach, with a clear, reasoned overall conclusion.	15%
Good	Some critical engagement, but skewed towards one side (only strengths, or only weaknesses) without balance.	11%
Partial	Largely descriptive summary of the cases without independent critical assessment.	6%
Minimal	No conclusion or critical engagement offered.	0–3%
Weight of this issue within Question 3		**15%**

QUESTION 3 — TOTAL **15 + 20 + 25 + 25 + 15 = 100%**

PART B · QUESTION 4

Comment or Case-Note on any TWO of the Following

QUESTION 4

Please write a comment or case-note on any TWO of the following:
(i) The variation of pre-existing contractual duties.
(ii) The means by which contractual terms can be implied in fact.
(iii) *Thornton v Shoe Lane Parking Ltd* [1971] 2 QB 163.
(iv) *Barnett v Chelsea and Kensington Hospital* [1969] 1 QB 428.

APPROACH NOTE *Candidates select any TWO of the four items below, so each is independently worth 50% of Question 4's total mark. All four are provided in full here, self-contained, since different candidates will have chosen different pairs.*

Q4(i) · The Variation of Pre-Existing Contractual Duties — worth 50% if selected

FULL MODEL ANSWER

The rule and its rationale. As a general rule, a promise to perform a duty one is already contractually bound to perform is not good consideration for a fresh promise of extra payment, because the promisee gives nothing the promisor was not already entitled to. The classic authority is *Stilk v Myrick* (1809) 2 Camp 317, where two of a ship's crew deserted mid-voyage and the captain promised the remaining sailors the deserters' wages if they worked the ship home; on return, the captain refused to pay, and the court held the promise unenforceable, since the sailors were already bound by their original contract "to do all they could under all the emergencies of the voyage." The rule was partly explained by public policy concerns about crews extracting concessions from captains mid-voyage, and it hardened into the general "pre-existing duty rule."

The modern qualification — practical benefit. The rigidity of *Stilk v Myrick* was significantly softened by *Williams v Roffey Bros & Nicholls (Contractors) Ltd* [1991] 1 QB 1 (Court of Appeal). A main contractor, facing a penalty clause for late completion, promised its carpentry subcontractor extra money per flat to finish on time, then failed to pay. The Court of Appeal held the promise was enforceable: although the subcontractor was only performing his pre-existing duty, the main contractor obtained a genuine **practical benefit** — avoiding the penalty clause and the cost of engaging a replacement contractor — and that practical benefit was sufficient consideration, provided the promise was not procured by economic duress or fraud. Glidewell LJ expressly declined to overrule *Stilk v Myrick*, instead treating it as a rule refined, rather than replaced, by nearly two centuries of subsequent development.

Application and limits. The practical effect is that most commercially negotiated variations of an existing contract, where one party agrees to pay more (or accept less, subject to separate part-payment-of-debt doctrine) in exchange for the other continuing to perform, will now be enforceable so long as some real, non-illusory benefit passes to the promisor and there is no vitiating factor such as duress. This is a significant departure from the strict logic of consideration, since the "benefit" identified in *Williams v Roffey* was really just *avoiding a loss* the promisor would otherwise have suffered from the promisee's own threatened default — a benefit that exists in almost every variation scenario, raising the question of how much independent work the consideration requirement still does in this context.

Mark Allocation — Q4(i), if selected

Tier	Descriptor	%
Full credit	Accurately states the pre-existing duty rule with *Stilk v Myrick*, accurately states and applies the practical benefit exception with *Williams v Roffey*, AND offers a critical point about how far the exception has eroded the original rule.	50%
Good	Both cases correctly stated with their holdings, but limited critical engagement with the tension between them.	36%
Partial	Only one of the two cases correctly stated, or both mentioned without clear legal reasoning.	20%
Minimal	Neither case correctly identified, or the topic not meaningfully addressed.	0–9%
Weight if this option is selected (one of two chosen)		**50%**

Q4(ii) · Implying Contractual Terms in Fact — worth 50% if selected

FULL MODEL ANSWER

The distinction. Terms implied "in fact" are terms the court supplies into a *particular* contract, on the basis that the parties, though they did not expressly say so, must genuinely have intended the term to form part of their bargain. This differs from terms implied "in law," which are imposed on entire categories of contract (e.g. by statute or established common law rule) regardless of the specific parties' intentions. Terms implied in fact are supplied through two traditional tests, both of which ask essentially the same underlying question in different words.

The business efficacy test. Established in *The Moorcock* (1889) 14 PD 64, where a ship owner contracted with a wharf owner to unload cargo at the wharf's jetty, and the vessel was damaged when the tide left it resting on a ridge beneath the mud; the Court of Appeal implied a term that the wharf owner would take reasonable care to ensure the berth was safe, on the basis that some such term was necessary to give the contract "business efficacy." Bowen LJ's reasoning was that the law implies only what "must have been intended at all events by both parties who are businessmen" — that is, only what is necessary to make the transaction work commercially, not merely what would be reasonable or desirable.

The officious bystander test. A complementary formulation was given by MacKinnon LJ in *Shirlaw v Southern Foundries (1926) Ltd* [1939] 2 KB 206: a term will be implied if it is so obvious that, had an "officious bystander" suggested it to the parties while they were making their bargain, "they would testily suppress him with a common 'Oh, of course!'" This is often treated as a practical restatement of the same underlying idea as business efficacy — obviousness and commercial necessity tend to travel together — rather than a genuinely separate, additional test.

Modern refinement. The UK Supreme Court in *Marks and Spencer plc v BNP Paribas Securities Services Trust Co (Jersey) Ltd* [2015] UKSC 72 confirmed that these traditional tests remain the governing approach (correcting a period of uncertainty caused by Lord Hoffmann's broader reasonableness-based language in *Attorney General of Belize v Belize Telecom Ltd* [2009] UKPC 10), and stressed that implying a term in fact is a strict, demanding exercise, deployed only where necessary — not a general licence for courts to improve a contract the parties actually made.

Mark Allocation — Q4(ii), if selected

Tier	Descriptor	%
Full credit	Correctly distinguishes implication in fact from implication in law, accurately states and applies both the business efficacy test (*The Moorcock*) and the officious bystander test (*Shirlaw*), AND notes the strict, necessity-based (not merely reasonableness-based) nature of the exercise.	50%
Good	Both tests correctly stated with authority, but the fact/law distinction or the necessity threshold not clearly drawn out.	36%
Partial	Only one test correctly stated with authority.	20%
Minimal	Tests not correctly identified or the topic not meaningfully addressed.	0–9%
Weight if this option is selected (one of two chosen)		**50%**

Q4(iii) · *Thornton v Shoe Lane Parking Ltd* [1971] 2 QB 163 — worth 50% if selected

FULL MODEL ANSWER

Facts. The claimant drove into the defendant's automated multi-storey car park. A notice at the entrance displayed the parking charges. He inserted money into an automatic machine, which raised a barrier and issued a ticket stating it was "issued subject to the conditions of issue as displayed on the premises." Those conditions, displayed inside the car park (and referring, in turn, to conditions displayed elsewhere on the premises), purported to exclude the operator's liability for personal injury. The claimant was later injured, partly through the defendant's negligence, while retrieving his car.

Issue. Had the exclusion clause been validly incorporated into the contract between the claimant and the car park operator, such that it could protect the operator from liability for the claimant's injuries?

> **HELD**
>
> **No — the exclusion clause was not incorporated; the Court of Appeal found for the claimant.**

Reasoning. The Court of Appeal's central move was to fix the precise moment the contract was formed. Lord Denning MR held that the offer was made by the car park owner holding the machine out as ready to receive money, and acceptance occurred the instant the customer put money into the slot — not later, when the ticket was issued. Once the coin was inserted, the contract was complete on whatever terms had been adequately brought to the claimant's attention *before* that point (essentially, the notice of charges at the entrance). The ticket itself, printed and dispensed only after the bargain was struck, came too late to introduce new terms; it operated as a mere receipt, not a fresh contractual document (drawing on *Olley v Marlborough Court Ltd* and *Chapleton v Barry UDC* by analogy). The court further held that, even had timing not been fatal, the exclusion clause was particularly onerous — purporting to exclude liability for personal injury — and such an unusual, onerous term required the defendant to take particularly clear steps to bring it to the claimant's attention in advance; simply referring, on a machine-issued ticket, to conditions displayed elsewhere inside the car park fell well short of that standard.

Significance. *Thornton* remains the leading illustration of two related incorporation principles: that a term cannot be incorporated into a contract after the contract has already been formed, however it is delivered; and that the more unusual or onerous a term is, the more prominent and explicit the notice of it must be (a graduated standard later echoed, in a different context, in cases on "particularly onerous" terms in standard-form and online contracts). It is also a well-known example of judicial technique: by fixing contract formation at the earliest plausible moment (payment, not ticket issue), the court was able to protect the weaker party without needing to rely on any separate doctrine of unfair terms, which did not yet exist in English law at the time.

Mark Allocation — Q4(iii), if selected

Tier	Descriptor	%
Full credit	Accurately states facts, issue and holding; correctly explains the reasoning on timing of contract formation AND the graduated notice requirement for onerous terms; identifies the case's broader significance.	50%
Good	Facts and holding correct, with reasoning on timing OR onerous-notice requirement (not both) fully developed.	36%
Partial	General awareness of the case (car park, ticket, exclusion clause) without accurate reasoning.	20%
Minimal	Case misidentified or not meaningfully addressed.	0–9%
Weight if this option is selected (one of two chosen)		**50%**

Q4(iv) · *Barnett v Chelsea and Kensington Hospital Management Committee* [1969] 1 QB 428 — worth 50% if selected

FULL MODEL ANSWER

Facts. Three night-watchmen attended the defendant's hospital casualty department complaining of vomiting after drinking tea (which, unknown to them, had been laced with arsenic). The duty casualty officer, himself unwell, did not examine them; he telephoned advice through a nurse that the men should go home and see their own doctors. One of the men, Mr Barnett, died some hours later of arsenic poisoning. His widow sued the hospital in negligence.

Issue. The hospital conceded it owed, and had breached, a duty of care in failing to examine or treat Mr Barnett. The live issue was **causation**: had that breach actually caused his death?

> **HELD**
>
> **No — the claim failed on causation; the hospital was not liable, despite its admitted breach of duty.**

Reasoning. Nield J applied what has become the standard test of factual causation in negligence: the "but for" test — would the harm have occurred *but for* the defendant's negligence? On the medical evidence, even if Mr Barnett had been properly examined and treated at the time he presented, the appropriate antidote could not have been administered in time to save him, given how far the poisoning had already progressed. The hospital's failure to examine him therefore made no difference to the outcome: he would have died regardless. Because the claimant could not show, on the balance of probabilities, that the breach caused the death, the claim failed notwithstanding that a clear breach of duty had been established.

Significance. *Barnett* is the standard illustration that breach of duty and causation are analytically distinct requirements in negligence, and that a claimant must satisfy both. It is frequently cited to demonstrate that even egregious-seeming carelessness by a defendant generates no liability if it cannot be shown, on the evidence, to have actually caused the claimant's loss — a result that can seem counterintuitive given the hospital's evident failure of care, but which reflects a deliberate feature of negligence law: liability compensates for loss actually caused by the breach, not the breach (or the risk it created) in the abstract. The case is regularly paired with later authorities on the limits and modifications of the "but for" test (for instance, in cases of multiple or cumulative causes, or evidential difficulty in proving causation), which developed partly in response to the harshness the strict "but for" approach can produce for claimants in genuinely uncertain medical-causation cases.

Mark Allocation — Q4(iv), if selected

Tier	Descriptor	%
Full credit	Accurately states facts, issue and holding; correctly explains the "but for" causation reasoning AND the analytical distinction between breach and causation; identifies the case's broader significance.	50%
Good	Facts and holding correct with accurate statement of the "but for" test, but limited discussion of significance.	36%
Partial	General awareness of the case (arsenic, hospital sent them home) without precise statement of the causation reasoning.	20%
Minimal	Case misidentified or not meaningfully addressed.	0–9%
Weight if this option is selected (one of two chosen)		**50%**

QUESTION 4 — TOTAL (any two selected) 50% + 50% = 100%